LAW ON SECURITY CONTRIBUTION OF THE REPUBLIC OF LITHUANIA

17 June 2025 No. XV-283
Vilnius

Article 1. Purpose of the Law

1. This Law establishes the procedure for taxation of insurance premiums as security contributions.

2. The provisions of this Law are harmonised with the legal acts of the European Union specified in the Annex to this Law.

Article 2. Basic concepts of this law

1. **Security contribution** – a monetary obligation imposed on insurers specified in Article 3(1) of the Law on Insurance of the Republic of Lithuania to the state for the purposes of financing the State Defence Fund.

2. Other terms used in this Law shall be understood as defined in the Law on Insurance, the Law on Competition of the Republic of Lithuania, the Law on Tax Administration of the Republic of Lithuania and the Law on Compulsory Third Party Liability Insurance of Vehicle Operators of the Republic of Lithuania.

Article 3. Object of security contribution

1. The object of the security contribution is insurance premiums under non-life insurance contracts, if the Republic of Lithuania is a state in which the insurance risk exists (hereinafter referred to as non-life insurance contracts), except for non-life insurance contracts specified in Article 8 of this Law.

2. For the purposes of this Law, the Republic of Lithuania shall be considered a country in which an insurance risk exists if:

1) it contains property, when the insurance contract is concluded for buildings (structures, premises) or buildings (structures, premises) and property located therein, if this property is insured under the same insurance contract;

2) any type of vehicle for which an insurance contract has been concluded is registered there. When providing compulsory third party liability insurance services, the Republic of Lithuania shall be considered the country in which the insurance risk exists, in accordance with this clause, including in cases where a compulsory third party liability insurance contract is concluded for a vehicle imported into the Republic of Lithuania and whose usual place of residence is in another European Economic Area state, if the buyer confirms that the vehicle has been delivered within 30 days of the delivery of the vehicle;

3) the policyholder has concluded an insurance contract for a period not exceeding 4 months regarding the insurance risks of travel abroad or holidays abroad, regardless of which insurance group these insurance risks belong to;

4) in all other cases not specified in points 1, 2 and 3 of this part, it contains:

a) the policyholder's permanent residence or

b) the registered office of the policyholder – a legal entity, a branch or representative office of a legal entity.

Article 4. Payers of the security contribution

The security contribution is paid by the insurers specified in Article 3(1) of the Insurance Law.

Article 5. Security contribution payment period

The security contribution payment period (hereinafter referred to as the payment period) is a calendar quarter.

Article 6. Security contribution base

1. The security contribution base is the sum of the insurance premiums specified in non-life insurance contracts concluded and/or extended and/or amended during the payment period, calculated for the entire period of validity of the non-life insurance contract, except for the insurance premiums specified in non-life insurance contracts concluded before 31 December 2025, which are returned upon termination of such contract, calculated *mutatis mutandis applying the instructions set out in Section S.05.01 of Annex II to Commission Implementing Regulation* (EU) 2023/894 of 4 April 2023 laying down implementing technical standards for the application of Directive 2009/138/EC of the European Parliament and of the Council with regard to the forms of reporting by insurance and reinsurance undertakings to supervisory authorities of information necessary for their supervision, and repealing Implementing Regulation (EU) 2015/2450, applicable to the calculation of written premiums. In this Law, a non-life insurance contract that has been amended shall be deemed to be a contract in which the conditions have changed, which has resulted in a decrease or increase in the non-life insurance premium specified in the non-life insurance contracts.

2. If, under a concluded and/or extended and/or amended non-life insurance contract, the country in which the insurance risk is located is not only the Republic of Lithuania, the security contribution base shall be the part of the insurance premium specified in the non-life insurance contract, proportional to the insurance risk located in the Republic of Lithuania, compared to the entire insurance risk insured under this insurance contract.

Article 7. Security contribution rate

A ten percent security contribution rate is applied to the security contribution base.

Article 8. Exemption from payment of security contribution

1. The insurers specified in Article 3(1) of the Law on Insurance shall be exempted from paying the security contribution for those insurance premiums received under compulsory third party liability insurance contracts concluded with natural persons (policyholders) for vehicles, when such contracts are concluded for vehicles that will neither be used for carrying out economic activities nor will they be transferred to legal entities for use on loan or other lawful grounds.

2. When concluding an insurance contract referred to in paragraph 1 of this Article, a natural person (policyholder) must indicate to the insurer that the vehicle will not be used to carry out economic activities and will not be transferred to a legal person for use under a loan agreement or on other lawful grounds.

3. If, during the period of validity of the non-life insurance contract specified in paragraph 1 of this Article, a person (policyholder) begins to use or transfers a vehicle for use by a legal or person for the purpose of carrying out economic activities, he must inform the insurer thereof, which shall include the recalculated insurance premium, taking into account the period of use of the vehicle for the purpose of carrying out economic activities, in the security contribution base.

4. The insurers specified in Article 3(1) of the Law on Insurance shall be exempted from paying a security contribution for those insurance premiums received under non-life insurance

contracts where the object of insurance is property interests related to crops and/or plants, and the health of farm animals.

Article 9. Calculation, declaration and payment of security contribution

1. The insurers referred to in Article 3(1) of the Law on Insurance shall calculate the security contribution, pay it and submit the security contribution declaration to the State Tax Inspectorate after the end of the payment period, no later than the 15th day of the following month.

2. The form of the security contribution declaration, the procedure for its completion, revision and submission to the State Tax Inspectorate shall be established by the Head of the State Tax Inspectorate under the Ministry of Finance of the Republic of Lithuania.

3. If, after submitting the security contribution declaration for the payment period, a non-life insurance contract has been amended or a non-life insurance contract has been terminated, the security contribution base and the amount of this contribution payable shall be adjusted in the security contribution declaration for the payment period in which these circumstances became apparent by reducing or increasing the security contribution base and the amount of this contribution payable accordingly. The security contribution base shall include the part of the insurance premiums specified in the extended and/or amended non-life insurance contracts that were not included in the calculation of the security contribution base.

4. The security contribution shall be paid into the state budget.

Article 10. Administration of the security contribution

1. The security contribution is administered in accordance with the procedure established by the Law on Tax Administration.

2. The Bank of Lithuania shall provide the State Tax Inspectorate with the information it has available, necessary for the administration of the security contribution, at the request of the State Tax Inspectorate or in accordance with the data provision agreement concluded between the Bank of Lithuania and the State Tax Inspectorate.

Article 11. Entry into force, implementation and application of the Law

1. This Law, except for paragraphs 2 and 4 of this Article, shall enter into force on 1 January 2026.

2. The Head of the State Tax Inspectorate under the Ministry of Finance of the Republic of Lithuania shall adopt the implementing legal acts of Article 9(2) of this Law by 31 December 2025.

3. This Law shall apply to non-life insurance contracts concluded from 1 January 2026, as well as to such contracts that were concluded before 31 December 2025 and were extended and/or amended from 1 January 2026. For contracts that were concluded before 31 December 2025 and were extended and/or amended from 1 January 2026, the amounts of insurance premiums calculated in proportion to the period from the date of entry into force of the extension and/or amendment of such contract until its expiry shall be used to determine the applicable security contribution base.

4. The Bank of Lithuania shall, by 30 September 2025, notify the supervisory authorities of other European Economic Area states of the requirements of this Law applicable to insurance undertakings of those states exercising the right of establishment and/or the right to provide services in the Republic of Lithuania.

I hereby promulgate this law adopted by the Seimas of the Republic of Lithuania.

President of the Republic Gitanas Nausėda

Annex to the Law on Security

Contribution of the Republic of Lithuania

IMPLEMENTATION OF EUROPEAN UNION LEGISLATION

2009/138/EC of the European Parliament and of the Council of 25 November 2009 on the taking-up and pursuit of the business of Insurance and Reinsurance (Solvency II).

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